Do you have any recommendations on investing in hedge funds?

I don't have any recommendations now because I have run low on hedge fund candidates.

Why is that?

Twenty years ago I understood the details of the hedge fund world very well because I was running one myself, and I knew a lot of the players and methodologies. I had a pretty good idea of which hedge funds had an edge and which ones were just asset gatherers. Since then, there has been an explosion in the number of hedge funds and assets under management, trends that have been accompanied by the entry of many more mediocre players. The increase in assets under management also tended to lower the return per dollar invested, as more money chased similar strategies. Finding the good hedge funds also became more difficult as there were much larger numbers of managers to wade through. Over the years, hedge funds began to shift from having edges to being asset gatherers. At the same time, the fees hedge funds charged increased. There was a time when a flat 20 percent profit incentive fee would do it. Then it became 20 percent incentive plus 1 percent management fee, and then 2 percent management fee. All of these trends made it more difficult for the investor to extract good returns from hedge funds.

Do you feel the hedge fund industry is following the path of the mutual fund industry, which became equivalent to the market, or actually worse than the market once you take into account transaction costs?

I believe the overall returns make hedge funds a less compelling investment than they once were.

Where do you see the steady-state equilibrium for the hedge fund industry?

It seems to me that the steady state would be when there is no excess risk-adjusted return in the hedge funds.

Wouldn't you expect there to be some excess return simply because hedge fund investors have to be compensated for accepting greater illiquidity?